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EXPLAINER

PESCO Explained

What the Permanent Structured Cooperation is, how it actually works, what Ireland does in it, how it connects to EU defence money, and why it matters during Ireland's EU Presidency.

Security Ireland

IN BRIEF

PESCO — the Permanent Structured Cooperation — is the EU's framework for defence cooperation. Written into the Lisbon Treaty in 2009, dormant for eight years, activated in December 2017. Twenty-six of 27 EU member states participate. Ireland joined at activation. PESCO has two pillars: binding political commitments (what states promise to do on spending, capability, and cooperation) and practical projects (what states actually build together). There are currently 74 projects. Ireland participates in seven as a full member — all in maritime, subsea, and cyber. None in tanks, fighters, or ground combat. What makes PESCO different from other EU cooperation is that the commitments are legally binding. What makes PESCO important now is that it is becoming a gateway to EU defence funding. The rules being written during Ireland's Presidency (July–December 2026) will determine whether PESCO participation earns preferential access to EDIP grants (€1.5 billion), SAFE loans (€150 billion), and European Defence Fund support (€8 billion). PESCO is transitioning from a political framework to a financial qualification. Ireland chairs the Council where this transition is decided.

How PESCO works: two pillars

Figure 1: PESCO's two-pillar structure. The binding commitments (left) set the political rules — 20 legally binding obligations on spending, capability, operations, industrial cooperation, and procurement. The projects (right) deliver practical cooperation — 74 projects across six domains. Confusing the two pillars is the most common mistake in public debate.

PESCO was conceived in the Lisbon Treaty as a framework for the most willing and able EU states to cooperate on defence. The original French vision was a small, ambitious group making serious capability leaps. The German vision — which won — was an inclusive framework open to all. The result is broad participation (26 states) with uneven depth. Jean-Claude Juncker called PESCO the treaty's 'sleeping beauty' that was woken by Russia's annexation of Crimea (2014), Trump's election (2016), and Brexit (2016), which removed the EU member most opposed to European defence integration.

The first pillar — *binding commitments* — comprises 20 obligations grouped into five areas: (1) increasing defence budgets regularly, (2) allocating 20% of spending to equipment and R&D, (3) addressing capability shortfalls collaboratively, (4) contributing to EU operations, and (5) strengthening the European defence industrial base.

States report annually through a National Implementation Plan. Every two years, a letter from a national political authority — in Ireland's case, the Minister for Defence — confirms the commitments. The Council assesses compliance and can recommend corrective action. In practice, enforcement has been light: no state has been sanctioned for non-compliance, though the strategic review is tightening the assessment criteria.

The second pillar — *projects* — is where cooperation becomes tangible. Projects are proposed by member states in periodic waves (six waves, 2018–2025), managed by participating states, and coordinated by one or more lead states.

A project is not a contract or a procurement programme, it is a structured cooperation framework. What happens inside varies: some develop common standards, some produce prototype technologies, some create shared operational capabilities, some coordinate procurement, and some (the honest criticism) do relatively little. Seven projects have been completed. The rest are ongoing with mixed delivery records.

What Ireland does in PESCO

Figure 2: Ireland's seven PESCO projects mapped to three domains: maritime, subsea, and cyber/logistics. Ireland did not join tank programmes, fighter-jet consortia, or ground combat projects. The pattern is deliberate — Ireland joins projects in the domains where its geography is irreplaceable.

Ireland's PESCO project selections reveal a strategic outline that is often missed in domestic debate. The seven full-member projects — Maritime Surveillance Upgrade, Maritime Mine Countermeasures, Critical Seabed Infrastructure Protection, Cyber Threats and Incident Response, Network of Logistic Hubs, plus two from the sixth wave — all address the domains where Ireland's geographic position creates a genuine European security contribution.

Ireland has an 880,000 km² EEZ with three-quarters of the northern hemisphere's transatlantic cables running through or near its waters; it hosts the European headquarters of most major American technology companies, making it a critical node in EU data infrastructure; its Atlantic approach is a gateway for European trade and energy.

Ireland did not join PESCO to participate in European ground combat capability or air superiority programmes. It joined to contribute — and to build capability — in the three domains where its contribution is irreplaceable: maritime surveillance, subsea infrastructure protection, and cyber resilience. This domain-specific approach is not a weakness. It is the model the strategic review should formalise. Security Ireland's *Presidency Desk Brief* on PESCO recommends that Ireland draft 'domain excellence' pathway language for the revised binding commitments — recognising that deep contribution in critical domains is more valuable than breadth at minimum levels.

Beyond the seven projects, Ireland has observer status on 17 further projects, joined CISE (the Common Information Sharing Environment for maritime data) in April 2025, and committed approximately €350 million to the European Peace Facility. Budget 2026 allocated a record €1.5 billion to defence, an 11% increase. The pattern is domain-specific cooperation on multiple tracks simultaneously — PESCO, CISE, bilateral (Cork MoU), and NATO-adjacent (ITPP) — each feeding into the others.

PESCO and money

Figure 3: PESCO is becoming a funding gateway. Participation increasingly determines access to the European Defence Fund (€8 billion), EDIP (€1.5 billion), SAFE (€150 billion), and the InvestEU Defence Equity Facility (€175 million). The connection between PESCO and EU funding is the critical development — for policymakers and investors alike.

PESCO itself does not directly fund projects, but PESCO participation increasingly determines access to the EU funding instruments that do. This connection is the critical development — it transforms PESCO from a political commitment into a financial qualification.

The European Defence Fund (€8 billion, 2021–2027) funds collaborative R&D through consortia of entities from at least three EU states. PESCO project participation builds the consortia relationships needed for successful EDF applications. The 2026 work programme includes calls directly relevant to Ireland's PESCO projects: quantum-secured networks, seabed infrastructure protection, AI for command and control, maritime surveillance systems.

EDIP (€1.5 billion) provides grants for joint procurement and industrial cooperation. The implementing rules being finalised during Ireland's Presidency will determine whether PESCO participation earns preferential access. Security Ireland's *Presidency Action Handbook* recommends that Ireland table a Council recommendation explicitly linking PESCO to EDIP preferential terms. SAFE (€150 billion) provides preferential loans for joint procurement. Further, procurement conducted through PESCO project frameworks could qualify for enhanced terms — lower interest margins, extended maturities, higher pre-financing. The InvestEU Defence Equity Facility (€175 million) deploys through specialist VC funds targeting defence SMEs and startups. Companies participating in PESCO-related supply chains are positioned for this funding.

The trend is clear: EU policy is building a financial incentive structure where PESCO participation is the qualification for access to the largest defence funding pool in history. States and companies that participate gain preferential access. States that do not pay more and access less.

Who else is in PESCO

Figure 4: 26 EU member states participate, including Ireland and Austria (both non-aligned). Five non-EU states have been invited to individual projects. Switzerland — neutral and non-EU — was invited in 2025. The precedent: neutrality is not a barrier to PESCO participation.

PESCO membership is open to EU member states. But since November 2020, non-EU countries can participate in individual projects under strict conditions: they must share EU values, must not contravene EU security interests, and must have a classified information agreement with the EU. Project members agree unanimously, and the Council takes the final decision. The United States, Canada, and Norway were invited to

the Military Mobility project in 2021. The United Kingdom was invited in 2022. Switzerland was invited in 2025.

The Switzerland precedent matters for Ireland's narrative. Switzerland is constitutionally neutral, not an EU member, and is now participating in a PESCO project. If a neutral non-EU state can participate from outside, Ireland's participation as a non-aligned EU member is entirely consistent with its constitutional position. The next frontier is Ukraine: the Council's November 2024 conclusions call for bringing Ukraine closer to PESCO. Security Ireland's *Presidency Brief* series recommends that Ireland broker Ukraine's participation in maritime and cyber projects specifically — where the operational need is strongest and where Ireland can play a facilitating role.

The strategic review

Figure 5: Four changes from the strategic review. Updated binding commitments (Ireland's opportunity: domain excellence pathway). Funding linkage (the critical change). Project consolidation (focus on delivery). Ukraine integration. Ireland's Presidency finalises all four.

The PESCO strategic review, launched in November 2023 with Council conclusions adopted in November 2024, is the most significant reassessment since activation. It responds to two pressures: the changed security environment (Russia's war, hybrid threats, US reliability questions) and the honest criticism that PESCO has underdelivered relative to its ambitions. Four changes are underway.

First, the 20 binding commitments will be updated and streamlined with clearer, measurable objectives. This is Ireland's opportunity: if the revised commitments include a 'domain excellence' pathway — recognising that depth in specific critical domains is equivalent to breadth across all domains — Ireland's seven-project model becomes a formal pathway rather than a compromise. Second, better linkage to EU funding instruments. PESCO projects should connect more directly to EDF, EDIP, and SAFE — creating the financial incentive structure that makes PESCO participation a qualification for funding. Third, project consolidation. The 74 projects include overlap and underperformers. Focusing resources on projects that deliver favours Ireland's maritime and cyber projects, which have clearer delivery pathways than many others. Fourth, Ukraine integration — facilitating participation in projects with operational relevance.

What PESCO is not

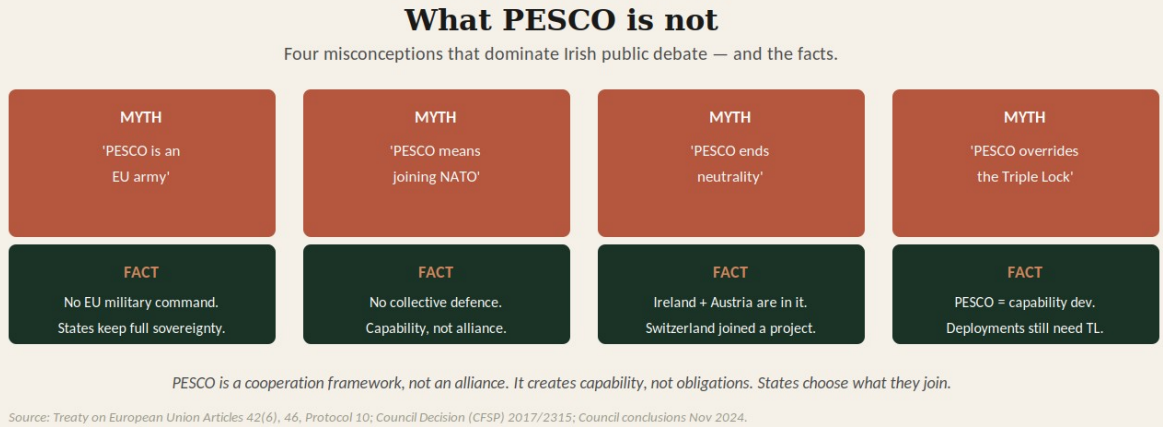

Figure 6: Four misconceptions that dominate Irish public debate. PESCO is not an EU army (no unified command). Not NATO (no collective defence). Not incompatible with neutrality (Ireland, Austria, and Switzerland all participate). Does not override the Triple Lock (capability development, not deployment).

PESCO is not an EU army; there is no EU military command, no unified force structure, no European general staff. PESCO creates a framework for cooperation, but it does not create a unified military. States retain full sovereignty over their armed forces and choose which projects to participate in.

Furter, PESCO is not NATO. PESCO has no collective defence clause — that is Article 42.7 TEU, which is separate and predates PESCO. PESCO is about capability development and industrial cooperation, not mutual defence. An attack on one PESCO member does not trigger a PESCO response.

PESCO is not incompatible with non-alignment. Ireland and Austria both participate while maintaining non-aligned status. Switzerland — neutral and non-EU — participates in a PESCO project. Finland and Sweden participated while non-aligned before joining NATO. The evidence is conclusive: PESCO and non-alignment coexist.

PESCO does not override the Triple Lock. PESCO commitments relate to capability development, procurement, and cooperation. Deployment decisions remain subject to Ireland's normal approval mechanisms: Government approval, Dáil approval, and UN or equivalent authorisation under the reformed Triple Lock. Building radar or arming naval vessels does not require Triple Lock approval — these are domestic capability decisions, not deployment decisions.

WHY PESCO MATTERS NOW

PESCO is transitioning from a political framework to a financial gateway. The rules being written during Ireland's Presidency will determine whether PESCO participation translates into preferential access to the largest EU defence funding pool in history. For policymakers: the Presidency is the window to shape how PESCO rewards domain-specific contribution. For investors: PESCO project participation is becoming a qualification for EU defence funding — companies in PESCO-related supply chains are positioned for EDF grants, EDIP co-funding, and SAFE-financed procurement. For the public: PESCO is the mechanism through which Ireland contributes to European security without joining NATO, without building an army, and without abandoning non-alignment. Whether it works depends on whether the projects deliver real capability. The Presidency is the test.

SERIES CONTEXT

This explainer complements the Presidency Desk Brief on PESCO (Brief 2 of 4), which provides the four specific actions Ireland should take during the Presidency: draft domain excellence pathway language, link PESCO to EDIP/SAFE preferential terms, push project consolidation, and broker Ukraine's participation in maritime and cyber projects. The Presidency Action Handbook provides the proposed Council text, allies, objections, and fallback positions for each.

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